

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-08

FORMUKLEEN, INC.,

Complainants

v.

TOP SHIPPING SYSTEMS, CORP.,

Respondent.

**RESPONDENT'S OPPOSITION TO COMPLAINANT'S COMBINED MOTION FOR
LEAVE TO EXCEED PAGE LIMIT AND AMENDED RENEWED MOTION TO
ENFORCE THE APRIL 1, 2026 ORDER AS TO REQUESTS FOR PRODUCTION NOS.
4 AND 7, FOR SANCTIONS UNDER 46 C.F.R. § 502.150(b), AND FOR REOPENING
AND EXTENSION OF DISCOVERY**

Respondent, Top Shipping Systems Corp. ("Respondent" or "TSS"), appearing pro se, respectfully submits this Opposition to Complainant FormuKleen, Inc.'s Combined Motion for Leave to Exceed Page Limit and Amended Renewed Motion to Enforce the April 1, 2026 Order as to Requests for Production Nos. 4 and 7, for Sanctions Pursuant to 46 C.F.R. § 502.150(b), and for Reopening and Extension of Discovery ("Motion").

Complainant asks Your Honor to impose the extraordinary remedies of sanctions, adverse findings, and reopening of discovery based primarily on speculation, selective excerpts from deposition testimony, and the unsupported assumption that additional documents must exist. The Motion disregards Respondent's repeated efforts to comply with the Court's Orders, including supplemental productions, continued searches for responsive materials, and ongoing good-faith cooperation throughout discovery. Respondent has never refused to comply with the Court's Orders, intentionally withheld responsive documents, or acted in bad faith. Respondent repeatedly supplemented its productions whenever additional responsive records were identified and continued producing documents after substantial compliance had been achieved. Complainant's disagreement with the results of Respondent's searches does not establish misconduct or justify the extraordinary relief requested. The Motion relies on deposition testimony taken out of context and attributed to individuals who were not responsible for Respondent's litigation discovery efforts. Operational employees answering questions about their day-to-day responsibilities cannot establish that Respondent failed to conduct reasonable searches or that Respondent's discovery declarations were inaccurate.

Accordingly, for the reasons set forth below, Respondent respectfully requests that the Presiding Officer deny Complainant's Motion in its entirety.

I. PROCEDURAL HISTORY

This discovery dispute has involved multiple rounds of supplemental discovery responses, productions, motions, and Court Orders. Throughout that process, Respondent consistently acted in good faith to comply with the Court's directives while seeking clarification regarding the scope of its discovery obligations where necessary.

On April 1, 2026, the Presiding Officer entered an Order directing Respondent to supplement its responses to Requests for Production Nos. 4 and 7. Respondent promptly undertook additional searches and review of its records to comply with the Order. On April 29, 2026, Respondent, through prior counsel, served supplemental discovery responses in further compliance with the April 1 Order.

On May 20, 2026, Respondent filed its Notice of Continued Production and Supplemental Compliance, advising the Court that it had continued reviewing its records and producing responsive materials in good faith following the April 1 Order. The following day, on May 21, 2026, Respondent filed its Reply to Complainant's Response to Notice of Continued Production and served the Bates ranges corresponding to third-party communications concerning the two subject shipments, CHSU4047424 and BSIU8431017.

On May 28, 2026, Respondent conducted a further review of the challenged redactions, reproduced documents where appropriate, and performed an additional targeted search for third-party communications concerning the two subject shipments, including communications with carriers, terminals, warehouses, truckers, vendors, and other non-FormuKleen entities. Respondent advised Complainant that no additional responsive communications concerning the subject shipments had been located.

The following day, on May 29, 2026, Respondent filed its Motion for Clarification, Protective Relief, and Guidance Regarding Scope of Discovery. Respondent did not seek to avoid discovery. Rather, after making multiple supplemental productions and substantially complying with the April 1 Order as it understood it, Respondent sought clarification regarding whether the Court intended the required searches to extend to approximately fifty-four historical shipments that were not the subject of the Complaint. During the June 4, 2026 Status Conference, the parties discussed the scope of Respondent's searches. Although Complainant maintained that it was not her responsibility to identify specific search terms or third parties, Respondent nevertheless used the third parties identified in Complainant's June 1, 2026 Motion to Enforce as additional search terms. That additional search did not identify any responsive documents concerning the subject shipments beyond those already produced.

Despite Respondent's continued efforts to comply with the April 1 Order, Complainant filed the present Amended Renewed Motion alleging discovery misconduct. As discussed below, the Motion relies primarily on speculation that additional documents should exist, selective excerpts from deposition testimony, and assumptions regarding Respondent's role in the subject shipments, rather than evidence that Respondent failed to produce responsive documents within its possession, custody, or control.

II. LEGAL STANDARD

Discovery requires a responding party to conduct a reasonable search for responsive documents within its possession, custody, or control. It does not require production of documents that do not exist, were never created, or are maintained solely by third parties. A party seeking to compel additional discovery or sanctions bears the burden of demonstrating that the responding party failed to comply with its discovery obligations. Mere speculation that additional documents should exist, or disagreement with the scope or results of a responding party's search, is insufficient to establish discovery misconduct or justify sanctions. Sanctions are reserved for circumstances involving willful noncompliance, bad faith, or other deliberate failure to comply with discovery obligations.

The issues before Your Honor are whether Respondent conducted a reasonable search, produced responsive documents within its possession, custody, or control, and acted in good faith to comply with the Court's Orders. As demonstrated below, the record establishes that Respondent satisfied those obligations.

III. RESPONDENT CONDUCTED REASONABLE SEARCHES AND COMPLIED WITH THE APRIL 1, 2026 ORDER

Complainant fundamentally mischaracterizes Respondent's operational role and discovery obligations.

Respondent conducted reasonable searches, repeatedly supplemented its productions, and sought clarification from the Court when genuine disputes regarding the scope of discovery arose. The fact that those efforts did not uncover the additional documents Complainant believes should exist does not establish noncompliance.

A. Respondent's Operational Role Necessarily Limited the Universe of Responsive Documents

A central premise of Complainant's Motion is that Respondent must possess substantially more communications than were produced because numerous entities participated in the movement of the cargo. That premise is incorrect.

Respondent's role in the subject shipments was limited to providing customs brokerage services, coordinating drayage following the cargo's arrival in the United States, and providing warehouse services. Respondent did not arrange international transportation, did not issue the ocean bills of lading, did not serve as the ocean carrier, and did not act as the NVOCC for either of the subject shipments.

Throughout this litigation, Respondent has consistently maintained and repeatedly advised both Complainant and Your Honor that its role in the subject shipments was limited to customs brokerage, drayage coordination, and warehousing. Respondent was not the NVOCC, ocean carrier, or freight forwarder responsible for arranging international transportation.

Accordingly, the universe of responsive documents within Respondent's possession, custody, or control was necessarily limited to communications generated in connection with those services. Respondent reaffirmed this position during the June 4, 2026 Status Conference, stating that it

"strictly acted as a customs broker... and the trucking and the warehouse and that's all we did in these two shipments."

Complainant's expectation that Respondent should possess substantially more communications with ocean carriers, foreign freight forwarders, terminals, or other entities involved in international transportation ignores Respondent's limited operational role. Respondent produced responsive communications within its possession, custody, or control. The fact that those communications were limited reflects Respondent's role in the subject shipments, not a failure to comply with its discovery obligations. Discovery does not require production of documents maintained by other entities or documents that were never created in connection with Respondent's services.

B. Respondent Conducted Multiple Reasonable Searches

Following the Court's April 1, 2026 Order, Respondent undertook additional efforts to identify responsive materials relating to the two subject shipments. Respondent expanded its searches, reviewed additional records, reassessed prior productions, and served multiple supplemental productions in an effort to comply fully with the Court's directives.

Respondent also reviewed challenged redactions and conducted targeted searches for third-party communications relating to the subject shipments. Those efforts culminated in Respondent's May 28, 2026 supplemental production, after which Respondent advised Complainant that no additional responsive communications concerning the subject shipments had been located.

When questions remained regarding the scope of discovery particularly as it related to approximately fifty-four historical shipments not at issue in the Complaint, Respondent sought guidance from the Court by filing its Motion for Clarification. That filing reflected Respondent's good-faith effort to obtain direction regarding the proper scope of its obligations rather than risk either underproducing or producing materials beyond what the Court intended.

During the June 4, 2026 Status Conference, Respondent further advised the Court that it had reviewed the third parties identified in Complainant's Motion to Enforce and used those entities as additional search terms. That additional search likewise did not identify any responsive documents beyond those already produced.

C. Complainant's Motion Relies on Speculation Rather Than Evidence

Despite Respondent's repeated searches and supplemental productions, Complainant continues to argue that additional communications "must" exist. The Motion identifies no specific responsive document that Respondent admits exists but failed to produce. Instead, Complainant asks the Court to infer discovery misconduct solely because Complainant believes Respondent should possess additional records. That inference is unsupported by the record. The mere possibility that other participants in the supply chain may possess additional communications does not establish that Respondent withheld documents within its possession, custody, or control. Nor does deposition testimony that employees communicated verbally or interacted with customers establish that responsive written communications existed in Respondent's files and were not produced.

Respondent cannot produce documents that do not exist or documents maintained exclusively by independent third parties. To the extent Complainant now contends that carriers, NVOCCs,

foreign forwarders, terminals, or other nonparties may possess additional documents, that is a separate third-party discovery issue, not evidence that Respondent violated the April 1 Order.

Complainant was aware throughout this proceeding of the identities and roles of the principal third parties involved in the subject shipments and had the opportunity to pursue appropriate third-party discovery within the established discovery period. Complainant should not be permitted to convert the absence of documents from Respondent's files into grounds for reopening discovery so that it may now pursue discovery that could have been sought earlier.

Having conducted multiple reasonable searches and produced the responsive materials located within its possession, custody, or control, Respondent satisfied its discovery obligations. Complainant has not shown that reopening discovery is necessary to remedy any noncompliance by Respondent, nor has Complainant established that its proposed third-party discovery could not have been pursued through reasonable diligence before discovery closed.

IV. RESPONSE TO COMPLAINANT'S SPECIFIC ALLEGATIONS

Respondent respectfully submits that Complainant's Motion is based on a series of factual and legal conclusions that are unsupported by the record. The Motion repeatedly characterizes Respondent's discovery efforts as inadequate while disregarding Respondent's supplemental productions, repeated searches, and consistent explanations regarding its limited role in the subject shipments. Your Honor should evaluate each allegation based on the evidence rather than speculation or assumptions that additional documents must exist.

A. Complainant Incorrectly Alleges That Respondent Failed to Search for Third-Party Communications

Complainant argues that Respondent failed to conduct reasonable searches for communications with various third parties involved in the subject shipments. The record demonstrates otherwise.

Following the Court's April 1, 2026 Order, Respondent conducted additional searches and supplemented its productions. Although Respondent had already searched for and produced responsive communications with the relevant third parties, Respondent nevertheless performed another round of searches using the entities identified in Complainant's Motion to Enforce as additional search terms, out of an abundance of caution and to ensure that, to the best of Respondent's knowledge after reasonable inquiry, no responsive documents had been overlooked. Those additional searches did not identify any further responsive documents within Respondent's possession, custody, or control. The fact that Respondent's searches did not locate additional documents does not establish that the searches were unreasonable or that responsive documents were withheld. A party's discovery obligations require a reasonable search and production of responsive documents within its possession, custody, or control—not production of documents that do not exist or are maintained exclusively by third parties.

B. Complainant Incorrectly Relies on Deposition Testimony to Infer Discovery Misconduct

Complainant also relies on selected excerpts from deposition testimony to argue that Respondent failed to produce responsive documents. Those excerpts do not support the conclusions Complainant asks the Court to draw. Testimony that employees communicated with customers, carriers, warehouses, truckers, or other participants in the shipping process does not establish that every communication generated a responsive email, text message, or other discoverable document. Much of the communication associated with customs brokerage, drayage coordination, and warehouse operations occurs by telephone or through operational discussions that do not necessarily create written records. Complainant's attempt to equate testimony regarding verbal communications with proof that written communications were withheld is speculative and unsupported by the record.

V. RESPONSE TO SPECIFIC FACTUAL ASSERTIONS IN THE AMENDED MOTION

A. Del Monte's Testimony Does Not Establish That Respondent Failed to Conduct Reasonable Discovery Searches

Complainant's Motion relies heavily on selected excerpts from Eddy Del Monte's deposition to argue that Respondent failed to comply with the Court's April 1, 2026 Order. However, Mr. Del Monte's testimony does not support the conclusions Complainant asks Your Honor to draw.

Mr. Del Monte testified as an operational employee with personal knowledge of the day-to-day customs brokerage and post-arrival handling of the subject shipments and the Formukleen account. He was not responsible for coordinating Respondent's litigation discovery, preparing the Villena Declaration, or certifying Respondent's compliance with its discovery obligations. Accordingly, his testimony concerning operational matters cannot reasonably establish that Respondent failed to conduct reasonable discovery searches or otherwise failed to comply with the Court's April 1, 2026 Order.

Complainant identifies no specific responsive document that Respondent admits existed within its possession, custody, or control and intentionally failed to produce. Instead, Complainant asks Your Honor to infer discovery misconduct from selected portions of Mr. Del Monte's testimony. That inference is unsupported by the record.

B. Complainant Mischaracterizes the Villena Declaration

Complainant repeatedly argues that Respondent's discovery declaration submitted by Ricky Villena was false because Respondent later conducted additional searches and because Complainant interprets portions of Mr. Del Monte's deposition testimony differently. That argument mischaracterizes both the declaration and Respondent's subsequent actions. Mr. Villena's declaration accurately described Respondent's discovery efforts based upon the information available following a reasonable inquiry at the time it was executed. Respondent conducted multiple searches, reviewed responsive repositories, consulted with employees involved in the subject shipments, and produced responsive documents located within its possession, custody, or control. The declaration reflected Respondent's good-faith understanding of its compliance with the Court's April 1, 2026 Order. The fact that Respondent later performed additional searches does not render the declaration false. Respondent continued to review records

and supplement its productions out of an abundance of caution to ensure that no responsive documents had been overlooked. Those efforts should not be construed as admissions that Respondent's prior searches were inadequate or that the declaration was inaccurate.

Ultimately, Complainant has identified no evidence that Respondent intentionally misrepresented its discovery efforts or knowingly withheld responsive documents. At most, Complainant disagrees with the results of Respondent's searches and asks the Court to infer misconduct from that disagreement. Such speculation does not support a finding that Respondent's declaration was false or warrant the extraordinary relief requested.

C. Complainant's Allegations Are Based on Speculation Rather Than Evidence

Throughout the Motion, Complainant repeatedly argues that because certain operational activities occurred, additional responsive documents must necessarily exist. However, Complainant identifies no specific responsive document within Respondent's possession, custody, or control that Respondent admits existed but failed to produce. Instead, the Motion asks Your Honor to infer discovery misconduct based on assumptions rather than evidence.

The allegations concerning the delivery orders illustrate this point. Complainant repeatedly asserts that Respondent failed to produce the delivery orders for the two subject shipments. The record demonstrates otherwise. Respondent previously produced those delivery orders during discovery. For the Court's convenience, copies of those previously produced documents are attached as **Exhibits A and B**.

Complainant's belief that additional emails, revised delivery orders, or other documents should exist does not establish that Respondent failed to conduct reasonable searches or withheld responsive documents. The Motion ultimately asks the Presiding Officer to infer noncompliance from speculation rather than evidence.

D. Complainant Has Not Demonstrated That Respondent Misrepresented Its Discovery Efforts

Complainant repeatedly asserts that Respondent misrepresented its discovery efforts through the declaration submitted by Ricky Villena. The Motion identifies no evidence establishing that Respondent knowingly made false statements or intentionally misled the Court.

Complainant's argument is based primarily on its disagreement with the results of Respondent's searches and its interpretation of selected deposition testimony. Neither disagreement nor differing interpretations of the evidence establish that Respondent knowingly submitted false declarations. Respondent's continued review of records and additional searches, undertaken out of an abundance of caution, do not demonstrate that any prior declaration was inaccurate. They reflect Respondent's continued effort to ensure compliance with its discovery obligations. Complainant also characterizes other factual disagreements as material misrepresentations, including Mr. Del Monte's testimony regarding his job title and Respondent's statements concerning the interpreter used during the depositions. Neither argument supports the conclusions Complainant urges. The title reflected in Mr. Del Monte's email signature does not

establish discovery misconduct, bad faith, or that Respondent failed to conduct reasonable searches. Respondent's reference in Docket No. 98 to a "neutral" interpreter reflected its position that an independent interpreter should have been used during the depositions, not that Respondent's June 13, 2026 email expressly used the word "neutral." Respondent consistently requested that Spanish interpretation be provided for its witnesses and has consistently maintained that permitting FormuKleen's President to serve as the interpreter compromised the appearance of neutrality and fairness. These disagreements do not establish that Respondent knowingly made false statements to the Commission. Complainant has not identified any specific responsive document that Respondent admits existed within its possession, custody, or control but intentionally failed to produce. Instead, the Motion asks the Court to infer misconduct from the assumption that additional documents should exist. That assumption is insufficient to establish that Respondent misrepresented its discovery efforts or acted in bad faith.

Accordingly, the record does not support Complainant's allegations that Respondent knowingly submitted false declarations or otherwise misled the Court regarding its discovery efforts.

E. Complainant Has Not Established a Basis to Reopen Discovery

Complainant also requests that discovery be reopened. That request should be denied.

Throughout discovery, Respondent produced responsive documents within its possession, custody, or control, supplemented its productions, conducted additional searches following the Court's April 1, 2026 Order, participated in depositions, and sought clarification from the Court where genuine disputes regarding the scope of discovery existed. Respondent's actions reflect continued good-faith compliance with its discovery obligations. The present Motion does not identify newly discovered evidence or establish that Respondent failed to comply with the Court's Orders. Rather, Complainant continues to argue that additional documents should exist and seeks to reopen discovery based upon speculation and disagreement with the results of Respondent's searches. Such assertions are insufficient to justify reopening discovery after the close of the discovery period. Complainant was aware throughout this litigation of the identities and roles of the principal third parties involved in the subject shipments and had the opportunity to pursue any third-party discovery it believed was necessary during the discovery period. Reopening discovery at this stage would unnecessarily prolong these proceedings without any showing that Respondent violated its discovery obligations.

Respondent further notes that, as previously explained in Docket No. 98, Respondent objected to the manner in which the Spanish-language depositions were conducted because FormuKleen's President served as the interpreter during portions of the testimony rather than a neutral, independent interpreter. Respondent continues to maintain those objections and respectfully incorporates its arguments from Docket No. 98 by reference. Respondent did request that a Spanish interpreter be used for the depositions. To the extent Respondent later referred to a "neutral" interpreter in Docket No. 98, Respondent was describing the impartial interpreter that Respondent believed should have been utilized to ensure a fair deposition, not suggesting that the contemporaneous email itself expressly used the word "neutral." Respondent's position has remained consistent that the depositions should have been conducted through an independent interpreter rather than through FormuKleen's President, who was both a principal of the opposing

party and personally involved in the underlying dispute. Under those circumstances, Respondent's employees, who were unfamiliar with litigation procedures and were proceeding without counsel, reasonably perceived the process as intimidating and questioned the fairness of the proceedings.

Respondent has continued to appear pro se throughout these proceedings. In light of Your Honor's prior comments regarding potential gamesmanship, Respondent was concerned that retaining counsel during the course of these proceedings could be perceived negatively. Given the continuing discovery disputes and the issues raised concerning the depositions, Respondent respectfully requests that, if any further proceedings are permitted, Your Honor allow Respondent to retain counsel to protect its rights and the rights of its employees. This request is made solely to ensure a fair process and is not intended to delay these proceedings.

Complainant has not demonstrated good cause to reopen discovery, and that request should be denied.

F. Complainant Has Not Established a Basis for Sanctions

Complainant also requests sanctions pursuant to 46 C.F.R. § 502.150(b). The record does not support such extraordinary relief.

Sanctions are reserved for circumstances involving willful noncompliance, bad faith, or deliberate disregard of a party's discovery obligations. None of those circumstances are present here. Throughout discovery, Respondent made good-faith efforts to comply with the Court's Orders by conducting reasonable searches, producing responsive documents within its possession, custody, or control, serving supplemental productions, participating in depositions, and seeking clarification from the Court when legitimate disputes arose concerning the scope of discovery.

Complainant's Motion is based primarily on speculation that additional documents should exist and on its disagreement with the results of Respondent's searches. However, disagreement with a party's discovery responses does not establish discovery misconduct or bad faith. Nor does it justify the imposition of sanctions where Respondent has consistently worked to comply with its discovery obligations. Complainant has not identified any evidence demonstrating that Respondent intentionally withheld responsive documents, knowingly submitted false declarations, or willfully violated the Court's April 1, 2026 Order. The record instead reflects Respondent's continued efforts to cooperate in discovery and to ensure compliance with the Court's directives.

Accordingly, because Complainant has failed to demonstrate willful noncompliance, bad faith, or any other conduct warranting sanctions under 46 C.F.R. § 502.150(b), the request for sanctions should be denied.

VII. CONCLUSION

For the foregoing reasons, and for the reasons previously set forth in Respondent's filings at Docket Nos. 62 and 98, which Respondent respectfully incorporates by reference, Respondent respectfully requests that the Presiding Officer deny Complainant's Amended Renewed Motion in its entirety.

Specifically, Respondent respectfully requests that the Presiding Officer:

1. **Deny** Complainant's Motion for Leave to Exceed the applicable page limitation;
2. **Deny** Complainant's request to enforce the April 1, 2026 Order;
3. **Decline** to find that Respondent violated the April 1, 2026 Order or otherwise failed to comply with its discovery obligations;
4. **Decline** to find that Respondent made any material misrepresentation to the Commission, including with respect to the Villena Declaration, Mr. Del Monte's testimony, or the parties' communications regarding a Spanish interpreter;
5. **Deny** Complainant's requests for additional compelled production, a corrected declaration, additional Bates-range identification, a privilege log beyond that required by the Commission's Rules, production of disputed redactions, or any other additional discovery relief requested in the Motion;
6. **Deny** Complainant's request to reopen or extend discovery or to modify the remaining case deadlines;
7. Sustain Respondent's previously asserted objections, as set forth in Docket No. 98, that the use of FormuKleen's President as the Spanish interpreter during Respondent's employees' depositions was inherently prejudicial and compromised the appearance of neutrality and fairness, and decline to rely upon or draw any adverse inference from testimony obtained through that procedure;
8. **Deny** Complainant's request for sanctions, adverse inferences, evidentiary preclusion, deemed facts, deemed findings concerning Respondent's role in the subject shipments, costs, or any other relief under 46 C.F.R. § 502.150(b); and
9. **Grant** such other and further relief as the Presiding Officer deems just and proper.

Respectfully Submitted,
TOP SHIPPING SYSTEMS CORP

Ricky Villena
Vice President, pro se

CERTIFICATE OF SERVICE

I hereby certify that on July 22, 2026, I have served the foregoing to all parties of record in this proceeding via electronic mail.

By:

TOP SHIPPING SYSTEMS CORP

Ricky Villena

Vice President, pro se